The Bible of Real Estate Auctions

Buy Your Property with Up to 94% Discount

Solomon Von Herclestein

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Author: Solomon Von Herclestein

PREFACE

Why I Wrote This Book

Conflict of interest: this book promotes the Hercleus Terminal and the AVVISI podcast, products and services of my own. They may be useful to readers, and they also generate income for me.

Good afternoon. This is Solomon Von Herclestein speaking.

Today we will discuss — or rather, I will present an exposition on real estate auctions. This book is the expanded and in-depth version of the content I have been presenting in my classes and lectures. It is the "Bible of Real Estate Auctions: Buy Your Property with Up to 94% Discount".

I wrote this book because I never tire of explaining that real estate auctions are a good investment, with financial returns much higher than other applications and with risk much lower than imagined. Even so, because it is still not popular in Brazil, people are afraid to make bids. This fear decreases daily as new auction houses emerge and the press dedicates more space to covering this market.

My Story: From First Auction to Million-Dollar Portfolio

In August 2022, I purchased an apartment in Vila Madalena, São Paulo, for R$ 180,000. I spent over R$ 50,000 on other expenses. Time passed, and I resold the property for R$ 320,000. This is a profit of R$ 90,000 in less than 12 months — which, compared to, for example, savings accounts or some bonds that revolve around 12% per year, represents three years of returns in just one year.

This was not an isolated case. It was the first of many. And I believe that if you are reading this book, you can also achieve similar or even better results.

Who This Book Is For

This book is for you who:

• Wants to buy your own home paying much less than market value • Seeks an alternative investment with returns higher than savings and fixed income • Wants to understand how the real estate auction market works without falling for scams or false promises

• Wants to become a real estate investor with solid legal and financial knowledge • Is a foreigner and wants to invest in the Brazilian real estate market

How to Use This Book

This book is organized into seven Parts, ranging from foundation to practice.

PART I — The Foundation: Understand what a real estate auction is, its legal basis and the types that exist.

PART II — The Path: Learn how to participate in an auction, from reading the notice to making your bid.

PART III — The Business: Discover the costs, the acquisition, taking possession, renovation and sale.

PART IV — The Strategy: Master the mathematics of profit, the 3 pillars of success and the magic of compound interest applied to auctions.

PART V — The Danger: Know the real risks and how to avoid them.

PART VI — The Practice: Follow the complete checklist for your first auction and study real cases.

PART VII — The Future: Understand market trends and the mindset of the successful investor.

Additionally, I included bonus chapters on investment for foreigners and high-value auctions, plus appendices with legislation, glossary and practical tools.

Let's begin.

IMPORTANT NOTICE

This book is informational and educational. It is not investment advice, legal advice, or tax advice. Real estate auctions involve risks, including loss of capital. Before deciding, consult a lawyer, an accountant, and an investment advisor registered with the CVM (Brazil's securities regulator). The author promotes his own products and services (Hercleus Terminal and the AVVISI podcast) throughout the book.

PART I — THE FOUNDATION

Chapter 1: What Is a Real Estate Auction?

1.1 Definition and Basic Concepts

The assets sold in real estate auctions can come from legal proceedings, banks, insurance companies, businesses or private individuals.

A real estate auction is a category of real estate asset sales, and in this type of transaction there is no direct negotiation between a buyer and a seller. In the case of judicial auctions, the sale is made through a legal process, and the judge will homologate or reject the purchase. In auctions, interested parties make bids in competition, in which the best offer will be homologated.

1.2 The Difference Between Conventional Purchase and Auction Purchase

CONVENTIONAL PURCHASE vs. AUCTION PURCHASE		
Aspect	Conventional	Auction Purchase
Negotiation	Direct seller	Via auction, bids
Price	Market (negotia.)	Highest bid
Property Condition	Free inspection	"As is" condition
Debts	Seller pays	May be assumed
Time	Flexible	Defined by notice

1.3 Why Properties Go to Auction

The main factor is crisis. Brazil has not yet recovered from the economic crisis that left millions unemployed. We had the COVID-19 pandemic, we had a post-COVID recession, and this reduced the number of real estate launches. Those with money began to look for used properties with better payment conditions. This was the starting point for the growth of the auction market.

Brazilians discovered this possibility and started making bids to buy their own homes paying much less. Furthermore, many financial institutions loaded with repossessed properties that needed to be sold facilitated negotiation, spread payments and, in many cases, even financed the winning bid with terms almost as long as a mortgage and reduced rates.

1.4 The History of Auctions in Brazil

The real estate auction is based on Law number 9,514, of November 20, 1997, which provides for the Real Estate Financing System, institutes the

fiduciary alienation of real property and provides other provisions.

The Real Estate Financing System (SFI) aims to promote real estate financing in general, under conditions compatible with the formation of respective funds.

Chapter 2: The Legal Foundation of Auctions

2.1 Law 9,514/97: The Real Estate Financing System (SFI)

Law 9,514/97 is the foundation of the real estate auction market in Brazil.

Article 1: The Real Estate Financing System (SFI) aims to promote real estate financing in general, under conditions compatible with the formation of respective funds.

Article 2: The following may operate in the SFI: Caixa Econômica Federal, commercial banks, investment banks, banks with real estate credit portfolios, real estate credit companies, savings and loan associations, mortgage companies and, at the discretion of the National Monetary Council (CMN), other entities.

Article 3: Real estate credit securitization companies, non-financial institutions established as joint-stock companies, shall aim to acquire and securitize these credits and issue and place on the financial market Certificates of Real Estate Receivables (CRI), being able to issue other securities, conduct business and provide services compatible with their activities.

Second auction under the out-of-court procedure: if the first auction has no bid equal to or above the property value set in the contract, a second auction is held within 15 days. In it, the bid must be equal to or above the full debt, expenses and legal charges (art. 27, §§ 1 and 2, of Law 9,514/97). The Superior Court of Justice treats a bid below 50% of the appraised value as a vile price (AgInt nos EDcl no REsp 1,931,921/SP, 2021), a prohibition that REsp 2,096,465/SP also applies to out-of-court enforcement.

2.2 Law 13,465/2017: Updates and Modernizations

Law 13,465/2017 brought important updates to the auction market, especially with regard to extrajudicial auctions, which now fall under this law in conjunction with Law 9,514/97.

2.3 The Role of the National Monetary Council (CMN)

The CMN is the body responsible for defining which entities may operate in the SFI, as provided in Article 2 of Law 9,514/97.

2.4 Certificates of Real Estate Receivables (CRI) and Securitization

Real estate credit securitization companies aim to acquire and securitize these credits and issue and place on the financial market Certificates of Real Estate Receivables (CRI). This mechanism allows real estate credits to be transformed into tradable securities on the financial market, increasing liquidity in the sector.

2.5 The Constitution and Property Rights

The real estate auction, although a form of forced execution, respects the right to property provided for in the Constitution, as it occurs within a legal process that guarantees due process and full defense to the debtor.

Chapter 3: Two Types of Auctions

The auction can be held in judicial or extrajudicial form.

3.1 Extrajudicial Auction

In the extrajudicial auction, governed by Laws 9,514/97 and 13,465/2017, the extrajudicial auction of real estate is executed in cases of default of at least three installments of a property sold to the financial institution with fiduciary alienation.

How it works:

1. The citizen bought an apartment with financing 2. Did not pay three installments 3. Went to the extrajudicial auction process

The process:

The bank will send to the debtor, via the real estate registry office, written notification to pay the overdue and adjusted installments, according to a spreadsheet that will accompany the notification. The debtor will normally have 15 days to pay the debt in full and at the office.

Otherwise, the financial institution may pay the ITBI (Real Estate Transfer Tax) and secure the property in its favor. Within 30 days of consolidation, the property may be put up for auction and is purchased.

How to prevent the auction:

The only way to prevent the property from being auctioned is through a court action informing the judiciary the reasons for the default, and proposing to pay the full debt at once, depositing the amounts in a court-linked account attached to the proceedings, or in case the creditor accepts an agreement on the installment plan of the debt.

3.2 Judicial Auction

It occurs through a court action to collect debt on the property itself, which can vary between condominium fees or unpaid property taxes.

How to suspend a judicial auction:

In this case, suspension of the auction will only occur with payment of the full debt or if the creditor accepts an agreement on the installment plan of the debt.

3.3 The Difference Between 1st and 2nd Call

In judicial auctions, there are two calls:

1st call: The property is offered at the appraised value. If there are no bids, it proceeds to the 2nd call.

2nd call: The property is offered again, with a minimum bid set by the judge and the notice. Law prohibits so-called "vile price" sales, and bids far below the appraised value may be annulled. Check the floor that applies to your case with a lawyer.

It is in the 2nd call that opportunities often appear, but the discount depends on the notice and the legal floor against vile price.

Chapter 4: Who Can and Cannot Participate

4.1 Legal Persons and Natural Persons: Basic Requirements

Any person over 18 years old, natural or legal, can participate in an auction.

To participate, it is necessary:

• To appear at the location where the auction will be held as stated in the notice, carrying personal documents

• Or participate online by doing early registration on the auctioneer's website

4.2 Restrictions in Article 890 of the Code of Civil Procedure

The following may not bid on the assets and situations indicated in Article 890 of the Code of Civil Procedure:

• Guardians, curators, executors, administrators and liquidators, regarding the assets entrusted to their care and responsibility

• Attorneys-in-fact, regarding the assets whose administration or sale they are in charge of

• Judges, members of the Public Prosecutor's Office and Public Defender's Office, court clerks and other court staff, in the locality where they serve

• Auctioneers and their agents, regarding the assets whose sale they are in charge of

• Attorneys of either party

4.3 Minors: Is It Possible?

No. Participation in an auction requires full legal capacity, that is, being 18 years old.

4.4 Foreigners: Special Rules

Foreigners can participate in auctions in Brazil, but must observe specific rules, which will be detailed in Chapter 26 (Bonus).

PART II — THE PATH

Chapter 5: The Notice — The Bible of the Deal

5.1 What It Is and Where to Find It

Because it is a bidding process, all auctions have a notice, which must be announced in advance, with wide publicity and circulation, whether printed or digital.

Where to find:

• Major newspapers, which already have a section with notices • Auctioneer websites • Court websites

5.2 Essential Information in the Notice

Must state the main information about the asset, such as:

ESSENTIAL INFORMATION IN THE NOTICE	
Information	Why It Matters
Square Footage	Defines size and value
Location	Determines market value
Property Condition	Indicates need for renovation
Occupancy	Occupied or unoccupied?
Pending Debts	Property taxes, condo, etc.
Minimum Value	Starting bid
Payment Conditions	Cash, installment, or financed

5.3 How to Interpret the Legal Language of the Notice

Notices are written in legal language, which can be intimidating for beginners. It is essential to:

1. Read the entire notice — not just the summary 2. Identify the most important clauses — occupancy, debts, minimum value 3. Seek professional help if there are doubts

Chapter 6: Where to Find Auctions

6.1 Major Newspapers

Newspapers like O Globo, O Estado de São Paulo, Valor Econômico have weekly sections teaching everything about auctions and informing available opportunity purchases.

6.2 Official Auctioneer Websites

Each auctioneer maintains a website where they publish their notices and hold online auctions.

6.3 Court Justice Portals

The Justice Courts of the states publish notices of judicial auctions on their portals.

6.4 Digital Platforms That Bring Together Multiple Auctioneers

A digital platform that brings together properties available in 1,500 auctioneers is beginning to operate, making it easier to search for opportunities.

6.5 How to Set Up Alerts to Not Miss Opportunities

Practical tip: Register on the websites of the main auctioneers and set up email alerts to receive notifications when new notices are published.

Chapter 7: How to Make a Bid

7.1 In-Person Auction: Required Documents and Procedures

To participate in an in-person auction, it is necessary:

1. Attend the location indicated in the notice 2. Carry personal documents (ID, CPF) 3. Be attentive to the auctioneer's conduct 4. Make verbal bids during the bidding

7.2 Online Auction: Early Registration and Bidding Strategies

To participate in an online auction:

1. Register early on the auctioneer's website 2. Submit required documentation 3. Deposit a security deposit (usually 5% of minimum bid) 4. Make bids through the platform on the scheduled date

7.3 Strategies to Win at the Lowest Possible Price

1. Set your maximum bid before the auction — and don't exceed it 2. Participate in auctions with few bidders — less competition 3. Make bids in the final minute — avoids inflating the price before time 4. Don't let emotions carry you — discipline is the key

7.4 What to Do If You Lose the Bid

If you lose the bid, don't be discouraged. The auction market offers opportunities every day. Analyze what went wrong and prepare for the next one.

7.5 Psychology of the Auction: How Not to Be Carried Away by Emotion

The auction is an emotional environment. The auctioneer is trained to create a sense of urgency and competition. To avoid falling into this trap:

• Have your maximum bid defined and don't change it during the auction • Remember: there will always be another property • Take a deep breath before making a bid

Chapter 8: The Role of the Auctioneer

8.1 Who They Are and What Their Functions Are

The auctioneer is the professional responsible for conducting the auction, receiving bids and declaring the winner.

8.2 Requirements to Be an Auctioneer

The profession of auctioneer will be exercised by means of registration granted by the commercial boards of the Federal District, the states and the Acre territory.

To be an auctioneer, it is necessary:

• To be a Brazilian citizen • To be in the enjoyment of your civil and political rights • To be over 25 years old • To be domiciled in the place where you intend to practice the profession for more than five years

• To have proven integrity with the presentation of identity card and negative certificates from the registry offices

• To present a negative certificate of lawsuits or executions filed against him in the Federal Civil Court and local corresponding to his domicile and relating to the last five years

May not be auctioneers:

• Those who were previously removed from this profession, except if they were removed at their request

• Bankrupts not rehabilitated • Rehabilitated persons when bankruptcy has been classified as negligent or fraudulent

8.3 Guarantee and Legal Responsibilities

The auctioneer, after being properly qualified before the commercial boards, is obligated, by court order of the same boards, to provide a guarantee in money or in a federal government bond.

8.4 How to Check If an Auctioneer Is Trustworthy

1. Consult the auctioneer's registration at the Commercial Board 2. Check if there are lawsuits against him 3. Research the auctioneer's reputation on the internet 4. Ask for references from other investors

PART III — THE BUSINESS

Chapter 9: The Purchase — The Moment of Truth

9.1 What Happens After the Winning Bid

After the winning bid, the buyer must:

1. Pay the bid value (or down payment, if paid in installments) 2. Await homologation by the judge (in judicial auctions) 3. Register the purchase at the real estate registry office

9.2 Homologation by the Judge: What It Means and How Long It Takes

In the case of judicial auctions, the sale is made through a legal process, and the judge will homologate or reject the purchase. Homologation can take from a few days to several months, depending on the complexity of the case.

9.3 The Payment: Cash, Installment or Financed?

Many financial institutions have facilitated negotiation, spread the value of the purchase and, in many cases, even financed the winning bid, with terms almost as long as a mortgage and with reduced rates.

9.4 Costs Beyond the Bid

Cost	Description
ITBI	Real Estate Transfer Tax (2-4%)
Registry Fees (Emoluments)	Property registration (0.5-1%)
Auctioneer Fees	Commission on bid (1-5%)
Retroactive Debts	Property taxes, condo (Variable)
Registration of Purchase	Registry office (Variable)

9.5 Financing After the Auction

In bank auctions, such as those of Caixa, the notice may allow financed payment. Rules that usually appear:

1. Down payment: in Caixa auctions, the down payment is usually at least 5% of the minimum sale price, paid within 2 business days after approval. Check the notice. 2. Financing and FGTS: allowed only when the property listing says so. It is not a general rule. 3. Financed percentage: promotional material mentions up to 95%, but the actual amount depends

on the notice and the bank's approval. Treat any figure as a starting point, not a guarantee. 4. Auctioneer fee: usually about 5% of the property value, paid by the buyer. Check the notice. 5. Second auction: if the first auction has no winning bid, the second auction takes place within 15 days, with a minimum bid that can be lower, but never below 50% of the appraised value (art. 27, §2, of Law 9,514/97, as amended by Law 14,711/2023).

Before relying on financing, confirm with the bank the required income, documents, property appraisal, maximum term and fees. Because the property is held under fiduciary sale, a buyer in default loses the right to pay off the debt and recover the property once ownership is consolidated: according to the Brazilian Superior Court of Justice (Theme 1,288, REsp 2,126,726/SP), once ownership is consolidated under Law 13,465/2017 there is no longer a right to cure the default; the debtor keeps only a right of first refusal (art. 27, §2-B, of Law 9,514/97).

The figures in this text come from press reports and 2026 auction notices. Always confirm them in the notice of each property.

Chapter 10: Taking Possession — How to Take the Property

10.1 Unoccupied Property: The Fastest Path

If the property is unoccupied, taking possession is immediate. The buyer can take possession as soon as payment is made and the purchase is homologated.

10.2 Occupied Property: How to Proceed

If the property is occupied, the situation is more complex. In this case:

1. Check in the notice if occupancy is reported 2. Try an out-of-court settlement with the occupant 3. If necessary, file an action for taking possession

10.3 Taking Possession: Out-of-Court or Judicial

The path depends on how the auction was held.

In an out-of-court auction, governed by Law 9.514/97, the buyer has the right to take possession once the auction certificate is recorded in the property registry (art. 30). If the occupant does not leave, a possession action may be filed. While the occupant stays, an occupancy fee of 1% per month, calculated on the property value stated in the contract for out-of-court auction, is due from the auction to the date of possession (art. 37-A, as amended by Law 14.711/2023). A lawsuit challenging the auction, without a decision suspending the procedure, generally does not prevent possession, according to decisions of state courts. This is not a guarantee: check your case with a lawyer.

In a judicial auction, possession follows the expropriation rules of the Code of Civil Procedure. Deadlines and remedies differ and must be checked with a lawyer.

Warning: the occupant may allege that the procedure was invalid. Read the notice of auction and the property registration before bidding. Also check whether the notice proves that the debtor was personally notified of the auction dates: courts debate when the lack of personal notice voids the procedure, and the debtor's clear awareness has been considered sufficient in some cases. Confirm with a lawyer.

10.4 Timeframes and Legal Costs

Aspect	Estimate
Time for voluntary eviction	15 to 30 days
Time for judicial eviction	6 months to 2 years
Legal costs	Lawyer, court fees, expertise

10.5 Out-of-Court Settlements with Occupants

Often, it is faster and cheaper to make an agreement with the occupant (payment for "turnkey") than to file a judicial action.

10.6 Extreme Cases: Reintegration of Possession with Police Force

In extreme cases, it may be necessary to use police force to reintegrate possession. This is an expensive, time-consuming and emotionally draining procedure.

10.7 What to Do If the Occupant Is Elderly, a Child or Person with Disability

The eviction of properties occupied by the elderly, children or people with disabilities is more difficult and lengthy, as justice tends to be more protective with these groups.

Chapter 11: Renovation and Appreciation

11.1 Assessing the Property's Condition

Before buying, assess the condition of the property. If possible, do an inspection. If not possible, be prepared for surprises.

11.2 Essential Renovations vs. Aesthetic Renovations

Type of Renovation	Description / Priority
Essential	Structure, electrical, plumbing roof — HIGH PRIORITY
Aesthetic	Painting, flooring, finishing — MEDIUM PRIORITY
Luxury	Decoration, landscaping — LOW PRIORITY

11.3 Budget: How Not to Go Over Plan

1. Do a detailed budget before renovation 2. Add a 30% reserve for unexpected expenses 3. Research suppliers before contracting

11.4 The Impact of Renovation on Sale Price

A well-done renovation can increase the property's value by 20-40%. A poorly-done renovation may add no value or even reduce the price.

11.5 When It's Worth It to Sell "As Is"

In some cases, it's better to sell the property "as is" (in the condition it is in) for investors who prefer to do the renovation themselves.

Chapter 12: The Sale — Realized Profit

12.1 Pricing: How to Arrive at Fair Market Price

1. Research similar properties in the region (Zap Imóveis, VivaReal) 2. Consult FipeZap for reference 3. Consider location, condition and size of the property

12.2 Sales Strategies

Strategy	Advantage / Disadvantage
Traditional Real Estate Agents	Reach, expertise / High commission (5-6%)
Direct Sale (OLX, Zap, Viva)	Save commissions / Seller's work
Sale to Other Investors	Quick sale / Lower price
Auction Again	Quick sale / Below market price

12.3 Average Sale Time: 12 Months (and How to Reduce It)

The average for sales is 12 months. To reduce this timeframe:

1. Price competitively 2. Invest in professional photos 3. Prepare the property for viewings 4. Advertise on multiple platforms

12.4 Negotiation: Giving Discount to Sell Quickly

Sometimes, giving a small 3-4% discount can speed up the sale and increase your ROI (Return on Investment) in the long run.

12.5 Taxation of the Sale: When Tax Applies to the Gain

When you sell the property for more than the acquisition cost, the difference is a capital gain, subject to personal income tax at progressive rates: 15% up to R$ 5 million of gain; 17.5% from R$ 5 million to R$ 10 million; 20% from R$ 10 million to R$ 30 million; and 22.5% above R$ 30 million. There are two important exemptions:

1. A single property sold for up to R$ 440,000, with no other sale in the last 5 years (art. 23 of Law 9.250/95). 2. Sale of a residential property with the full proceeds reinvested in another residential property in Brazil within 180 days (art. 39 of Law 11.196/2005). Partial reinvestment, in construction or land, does not guarantee the exemption.

The taxable gain is calculated in the GCAP system and paid by DARF. Even when exempt, the sale must be reported in the tax return. This text is informational and does not replace the advice of an accountant.

PART IV — THE STRATEGY

Chapter 13: The Mathematics of Profit

13.1 ROI (Return on Investment): How to Calculate

ROI (Return on Investment) measures profit relative to total investment.

Formula: ROI = (Profit / Total Investment) × 100

Practical Example:

• Property bought for R$ 180,000 • Costs (renovation, taxes, etc.): R$ 50,000 • Total investment: R$ 230,000 • Sale for R$ 320,000 • Profit: R$ 90,000

ROI = (90,000 / 230,000) × 100 = 39.1%

13.2 ROE (Return on Equity): The Definitive Indicator

ROE (Return on Equity) measures return on own capital invested.

Formula: ROE = (Profit / Own Capital) × 100

13.3 Step-by-Step Practical Example

Step 1: Identify the property at auction - Market value: R$ 350,000 - Minimum bid: R$ 180,000

Step 2: Participate in the auction - Winning bid: R$ 180,000

Step 3: Additional costs - Renovation: R$ 40,000 - ITBI: R$ 7,200 (2%) - Auctioneer commission: R$ 3,600 (1%) - Total costs: R$ 50,800

Step 4: Sale - Estimated sale price: R$ 320,000 - Real estate agent commission: R$ 19,200 (6%)

Step 5: Profit calculation - Revenue: R$ 320,000 - Total costs: R$ 50,800 + R$ 19,200 = R$ 70,000 - Profit: R$ 250,000

13.4 Calculation Spreadsheet: Download and Use

We have included an ROI calculation spreadsheet in Appendix C. Download and use it for your analyses.

Chapter 14: Comparison with Other Investments

14.1 Savings Account: 12% per Year vs. 100% in One Year

Investment	Annual Return	Observation
Savings Account	~6%	Low return
Real Estate Auction	30-60% (12 mths)	High return

14.2 Fixed Income Securities (Tesouro Direto, CDBs)

Investment	Annual Return	Observation
Treasury Selic	~10%	Low return
CDBs	~11-12%	Limited return
Real Estate Auction	30-60% (12 mths)	Superior return

14.3 Stocks and Stock Exchange (Bovespa)

Investment	Annual Return	Observation
Bovespa	Variable (10-20%)	High volatility
Real Estate Auction	30-60% (12 mths)	More predictable

14.4 Real Estate Investment Funds (FIIs)

Investment	Annual Return	Observation
FIIs	8-12%	Monthly dividend
Real Estate Auction	30-60% (12 mths)	Superior return

14.5 Cryptocurrencies: The Risk Is Not Worth It

Investment	Annual Return	Observation
Cryptocurrencies	Variable (negative)	Speculation
Real Estate Auction	30-60% (12 mths)	Real asset

14.6 Why Real Estate Auctions Are More Predictable

Unlike stocks or cryptocurrencies, the value of a property is relatively stable in the short term. Nowadays, property prices are easy to check by anyone using available digital resources on the internet. Furthermore,

property prices do not vary much in the short term. If you buy a property today, a year from now its value will not be much different.

Chapter 15: The 3 Pillars of Success

For the real return to be achieved, certain conditions must be met:

15.1 First Pillar: Avoid Competition

Look for auctions where there will be less competition.

Strategies:

• Auctions in smaller cities • Properties with some "defect" that scares beginners • Strategic times and dates (weekday auctions, business hours)

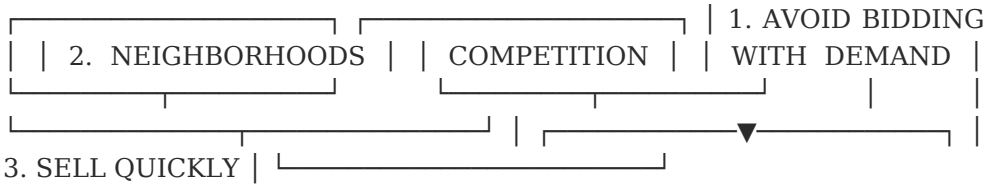
15.2 Second Pillar: Choose Neighborhoods with Demand

Seek properties with interested buyers. There's no point in buying a property in a distant neighborhood where no one is looking. On the contrary, look for centralized neighborhoods with more property searches.

15.3 Third Pillar: Sell Quickly

Good property, located in a good neighborhood, with a small 3-4% discount, has a better chance of being sold quickly.

15.4 The Interaction Between the Pillars



Chapter 16: The Magic of Compound Interest Applied to Auctions

16.1 One Deal Per Year: Is It Possible?

Considering that the average for sales is 12 months, it is possible to do one deal per year. With a little experience and dedication, you can find a property per year.

16.2 Projection for 10, 20 and 30 Years

Considering ROE (Return on Equity) of 35% per year:

Period	Wealth (starting from R$ 100k)
10 years	R$ 2,000,000

16.3 Warren Buffett's Example (20% a.a.) vs. Auction (35% a.a.)

Warren Buffett, the greatest investor in the American stock market and consequently in the world, achieved throughout his career an average ROE of 20%, considering that all money would be reinvested.

With 20% ROE, investing R$ 100,000 today:

Period	Wealth (starting from R$ 100k)
10 years	R$ 620,000

With 35% ROE (real estate auction):

Period	Wealth (starting from R$ 100k)
10 years	R$ 2,000,000

16.4 The Limits of the Model: When Wealth Becomes Too Large

Obviously, the larger your wealth becomes, the harder it will be to find large-value properties to continue this multiplication. But with this example alone, you can see that it is possible to achieve great returns with properties in auctions.

When you have 40 million, you won't buy 100k properties anymore. You'll have to buy larger properties. 40 million will be a portfolio of properties, then you'll already need technical support, sometimes a specialized real estate sales office. That is, you will grow along with it.

Chapter 17: Diversification and Risk Management

17.1 Why Not Put All Money in One Property

Diversification is a valid strategy to reduce risks and not depend on one or two investments.

17.2 Combining Auctions with Fixed Income and Stocks

If you are young, with few commitments and a lot of time ahead, you have more room for risk-taking, considering that the consequences will be better and you will have plenty of time to recover from any loss.

However, if you are older, with more commitments and responsibilities, with less time to live, what you would like to do is invest in more secure and less volatile assets.

17.3 The Real Estate Portfolio: When Wealth Grows, Business Changes

As your wealth grows, you will need:

• Technical support • Specialized real estate sales office • Lawyers and accountants

17.4 How to Exit Real Estate and Migrate to Other Assets

Diversification should be used in this balance between high and low risk investments. What makes the most sense to me is: diversify.

PART V — THE DANGER

Chapter 18: The Real Risks (That No One Tells You About)

18.1 Occupancy Risk: The Hidden Cost

The property may be occupied. If it is occupied, the possibility of judicially requesting taking possession may take some time, in addition to more legal costs. Eviction can take from 6 months to 2 years.

18.2 Legal Risk: Debts and Incomplete Documentation

The property may have hidden debts (property taxes, condominium fees, liens) that may become the responsibility of the new owner. It is essential to analyze the property's registration at the real estate registry office.

18.3 Renovation Risk: Budget Exceeded

The property may be in poor condition, requiring renovations that exceed the planned budget. Always add a 30% reserve for unexpected expenses.

18.4 Liquidity Risk: Property Stuck

The property may take more than 12 months to sell, tying up the investor's capital.

18.5 Competition Risk: Bid Too High

The bid may be inflated by competition, eroding profit.

18.6 Macroeconomic Risk: Interest Rates, Inflation and Crisis

The real estate market can be affected by economic crises, rising interest rates and inflation.

Chapter 19: How to Avoid Scams and False Promises

19.1 The "Property with 94% Discount" Scam

Be wary of promises of miraculous discounts. Real discounts usually range from 30% to 60% of market value, not 94%.

19.2 Be Wary of "Miracle Course" Sellers

Many course sellers promise to get rich with auctions, but have never participated in an auction in their lives.

19.3 How to Verify Auctioneer's Integrity

1. Consult the auctioneer's registration at the Commercial Board 2. Check if there are lawsuits against him 3. Research reputation on the internet

19.4 Consulting Negative Certificates and Records

Always request negative certificates of lawsuits or executions filed against the auctioneer at the Federal Civil Court and local corresponding to your domicile and relating to the last five years.

19.5 Fake Websites and Phishing: How to Protect Yourself

• Always verify the auctioneer's website domain • Don't click on suspicious links • Confirm the website address directly with the auctioneer

Chapter 20: When Not to Buy a Property at Auction

20.1 Red Flags in the Notice

• Occupancy not reported • Debts not specified • Minimum value very low (may indicate serious problems) • Incomplete documentation

20.2 Properties with Serious Structural Problems

• Cracks • Water infiltration • Foundation problems • Condemnation by city hall

20.3 Neighborhoods with Low Demand or Violence

• Low property demand • Rising violence • Continuous devaluation

20.4 Occupancy by Elderly, Child or Person with Disability

Eviction of properties occupied by these groups is more difficult and lengthy.

20.5 Properties in Rural or Border Areas (For Foreigners)

For foreigners, purchasing rural or border area properties requires authorization from INCRA or the National Defense Council.

20.6 When the Discount Does Not Justify the Risk

If the discount is small (less than 30%), the risk may not be worth it. Assess whether the profit potential justifies the risk.

PART VI — THE PRACTICE

Chapter 21: Your First Auction — Complete Checklist

21.1 Month 1: Study and Preparation

☐ Read this book twice ☐ Set aside capital (minimum R$ 50,000 to start) ☐ Keep your CPF up to date and open a bank account

21.2 Month 2: Property Selection and Notice Analysis

☐ Analyze 10 notices per day ☐ Create a spreadsheet of opportunities ☐ Visit the properties (if possible)

21.3 Month 3: Participation and Purchase

☐ Set your maximum bid (don't exceed it!) ☐ Participate in 3 auctions as "training" ☐ Purchase your first property

21.4 Post-Purchase: Documents and Payment

☐ Pay the bid (or down payment) ☐ Await homologation (if judicial) ☐ Register the purchase at the registry office

21.5 After Taking Possession: Renovation and Sale Preparation

☐ Assess the property's condition ☐ Do essential renovations ☐ Prepare property for sale

Chapter 22: Real Case Studies

How to read the numbers in this chapter: ROI is profit divided by total investment, which adds up purchase, costs and renovation. Values are rounded. The origin of each case is shown in the label that accompanies it.

22.1 Case 1: The Apartment in Vila Madalena (The Author's Case) [LABEL: FIRST-HAND ACCOUNT, NO DOCUMENTS ATTACHED]

In August, I purchased an apartment in Vila Madalena, São Paulo, for R$ 180,000. I spent over R$ 50,000 on other expenses. Time passed, and I resold the property for R$ 320,000. This is a profit of R$ 90,000 in less than 12 months.

Item	Value
Purchase	R$ 180,000
Costs	R$ 50,000
Investment	R$ 230,000
Sale	R$ 320,000
Profit	R$ 90,000
ROI	39.1%

22.2 Case 2: Occupied Property That Took 2 Years to Evict [LABEL: ILLUSTRATIVE, NO DOCUMENTS ATTACHED]

An investor bought an occupied property for R$ 150,000. Judicial eviction took 2 years and cost R$ 40,000 in lawyer fees and court costs. In the end, sold for R$ 250,000.

Item	Value
Purchase	R$ 150,000
Eviction Costs	R$ 40,000
Renovation	R$ 20,000
Total Investment	R$ 210,000
Sale	R$ 250,000
Profit	R$ 40,000
ROI	19% (in 2 years)

22.3 Case 3: The Auction with Fierce Competition That Almost Lost Money [LABEL: ILLUSTRATIVE, NO DOCUMENTS ATTACHED]

An investor got into fierce bidding and paid R$ 300,000 for a property appraised at R$ 350,000. Costs were R$ 70,000. Fierce competition eroded all profit.

Item	Value
Purchase	R$ 300,000
Costs	R$ 70,000

Investment	R$ 370,000
Sale	R$ 370,000
Profit	R$ 0
ROI	0%

22.4 Case 4: The Property That Yielded 59% Profit in 6 Months [LABEL: ILLUSTRATIVE, NO DOCUMENTS ATTACHED]

An investor bought a property at auction for R$ 200,000, a property appraised at R$ 300,000. Spent R$ 20,000 on renovation and sold for R$ 350,000.

Item	Value
Purchase	R$ 200,000
Costs	R$ 20,000
Investment	R$ 220,000
Sale	R$ 350,000
Profit	R$ 130,000
ROI	59.1% (in 6 months)

22.5 Case 5: A Beginner's First Auction (Mistakes and Successes) [LABEL: ILLUSTRATIVE, NO DOCUMENTS ATTACHED]

A beginner bought a property without doing an inspection. Discovered it needed R$ 50,000 in renovations that hadn't been foreseen. However, the property was in a valued neighborhood and sold quickly.

Item	Value
Purchase	R$ 160,000
Expected Costs	R$ 10,000
Unexpected Costs	R$ 50,000
Investment	R$ 220,000
Sale	R$ 280,000
Profit	R$ 60,000
ROI	27.3%

Chapter 23: Tools and Useful Resources

23.1 Websites to Check Property Values

• Zap Imóveis: www.zapimoveis.com.br • VivaReal: www.vivareal.com.br • FipeZap: Real estate price index

23.2 Auction Search Systems

• Official auctioneer websites • Court portals • Digital platforms that bring together multiple auctioneers

23.3 Spreadsheets to Calculate ROI and Costs

We have included an ROI calculation spreadsheet in Appendix C.

23.4 Contract Templates and Necessary Documents

• Model purchase and sale contract • Model power of attorney for representation • Model out-of-court settlement for eviction

23.5 Applications for Auction Monitoring

• Email alerts • Auction notification applications • RSS feeds from notices

23.6 Groups and Communities of Investors

• Groups on WhatsApp and Telegram • Real estate investment forums • In-person events and meetings

PART VII — THE FUTURE

Chapter 24: The Real Estate Auction Market in Brazil

24.1 Growth in Recent Years

Brazilians discovered this possibility and started making bids to buy their own homes paying much less. Furthermore, many financial institutions loaded with repossessed properties that needed to be sold facilitated negotiation.

24.2 The Role of Technology and Online Auctions

A digital platform that brings together properties available in 1,500 auctioneers is beginning to operate. The vast majority of auctions today occur online, making it easier for investors from across the country to participate.

24.3 What to Expect for the Next 10 Years

Newspapers like O Globo, O Estado de São Paulo, Valor Econômico have weekly sections teaching everything about auctions and informing available purchase opportunities. Economic commentators on radio stations CBN and Bandeirantes have already spoken much about the subject.

24.4 The Impact of Artificial Intelligence on Opportunity Analysis

Artificial intelligence can help:

• Analyze thousands of notices quickly • Identify opportunities with high profit potential • Predict property market value • Evaluate legal and occupancy risks

24.5 New Laws and Regulations

The auction market continues to evolve, with new laws that may facilitate or hinder investment. It is important to stay updated.

Chapter 25: The Lion and the Gazelle — The Investor's Mindset

25.1 The Importance of Patience

The true investor waits. There are no shortcuts. Nobody becomes a millionaire in three years driving a Ferrari or Lamborghini: the image shared online does not represent most investors. It might exist for someone, but generally it does not exist in the financial market.

25.2 Don't Fall in Love with the Property (Only with the Numbers)

Always keep in mind that the property is an investment, not a house to live in. Decisions should be based on numbers, not emotion.

25.3 Learn from Mistakes and Move Forward

Every investor makes mistakes. The important thing is to learn from them and move forward.

25.4 Building Generational Wealth

I always give the example: imagine Uncle Scrooge. He didn't like to lose a penny, didn't spend on anything. That is the mathematics.

25.5 The Responsibility of Teaching and Helping Other Investors

In addition, it is necessary to study and specialize, or have someone who does it. Even if you have someone, you will also have to study to understand what you are doing with your money, so you don't come out with those stories in the news — "I didn't see what he did with my money and lost everything".

BONUS CHAPTERS

Chapter 26 (Bonus): How Foreigners Can Invest in Auctions in Brazil

26.1 Fundamental Requirements: CPF and Documentation

The first and most important step for any foreigner interested in participating in an auction in Brazil is to obtain a CPF (Individual Taxpayer Registry). This is the tax identification number mandatory for any real estate transaction in the country.

How to obtain:

The process can be carried out through the Brazilian consular network in the country of residence of the investor. Registration normally takes 2 to 3 weeks to complete.

Basic required documentation:

• Valid passport (with at least 6 months validity) • CPF registration certificate • Proof of address (electricity, water bill or bank statement) • Power of attorney with specific powers, if using a representative in Brazil (must be notarized and apostilled)

It is also recommended to obtain the RNE (National Registry of Foreigners), although it is not strictly necessary for a single purchase.

26.2 Opening a Bank Account and Foreign Exchange

Real estate transactions in Brazil are mandatory in Brazilian Reais (BRL). Therefore, the investor needs to plan the transfer of funds to an account in Brazil.

Bank account: It is advisable to open an account at a Brazilian bank to enable the transfer of funds.

Foreign exchange: Foreign exchange operations must be carried out through institutions authorized by the Central Bank of Brazil, and the investor must be prepared to provide documentation of the origin of the funds to comply with compliance requirements.

26.3 Auction Participation: Online and In-Person

The vast majority of real estate auctions in Brazil today occur online, which facilitates the participation of foreign investors.

Registration: The interested party must register on the auctioneer's platform before the auction date. This registration requires the presentation of a CPF and identity documentation.

Security deposit: Many auctions require the deposit of a security amount (usually 5% of minimum bid) to credential the participant.

26.4 The Notice and Due Diligence (Critical Analysis)

"Due diligence" is the most critical stage and cannot be neglected. Unlike traditional purchases, the property at auction is sold "as is".

The Notice: It is the document that governs the auction. Must be read carefully. It contains all information about the property, debts, occupancy and payment conditions.

Registration Research: The property's registration with the Real Estate Registry Office is the property's birth certificate. It is essential to analyze this document to verify the chain of ownership, the existence of liens, mortgages or other debts that "follow" the property.

26.5 Specific Restrictions: Rural Areas, Border and Marine Properties

While the acquisition of urban real estate is relatively free for foreigners, Law 5,709/71 imposes significant restrictions on rural properties and areas of national interest.

Rural Properties:

• Acquisition by foreign natural persons is limited to 50 indefinite exploitation modules

• For areas between 3 and 50 modules, INCRA authorization is required • Brazilian companies with a majority of foreign capital are treated as foreign for these purposes

Border Zone (up to 150 km from border): Purchasing urban or rural properties in these areas by foreigners depends on prior authorization from the National Defense Council.

Coastal Properties (Marine Land): Acquisition also faces restrictions.

Non-compliance with these rules can lead to nullity of the transaction.

26.6 Alternatives and Structures: Right to Surface, Partnership with Brazilian Partner

To bypass restrictions or optimize investment, alternative structures exist:

Right to Surface: Allows the foreigner (surface holder) to build or plant on property owned by a third party (grantor), without acquiring full property of the land. It is an alternative to economically exploit the property without facing restrictions on land purchase.

Partnership with Brazilian Partner: A joint venture with a Brazilian partner can enable transactions in the rural sector, diluting foreign control.

Usufruct: Another alternative is the constitution of a real property right of usufruct, which guarantees the foreigner the right to use and enjoy the property without being the full owner.

26.7 Specialized Legal Advice

A foreign investor should not act alone. Legal and bureaucratic complexity makes specialized legal advice support not just recommended, but essential.

Process Coordinator: A local law firm can act as a "command center", coordinating legal, exchange, due diligence and property registration aspects of the deal.

Prior Preparation: Legal advice can prepare the investor before even defining the asset, ensuring that the investment structure, documents and banking channels are ready for execution.

26.8 Summary Checklist for Foreign Investor

1. Obtain CPF 2. Open a bank account in Brazil (or plan foreign exchange transfer) 3. Select an urban property to avoid complex restrictions 4. Perform complete due diligence: analyze the notice, property registration, debts and occupancy situation

5. If necessary, seek authorizations (INCRA, CDN) in advance 6. Hire local legal advice to conduct the process 7. Set aside resources for costs beyond the bid (ITBI, fees, possible debts) 8. Participate in the auction with a predefined bid limit, avoiding getting involved in emotional disputes

Chapter 27 (Bonus): High-Value Auctions — How to Invest Above R$ 1 Million

27.1 The Luxury Real Estate Market at Auction

Luxury properties (above R$ 1 million) also go to auction. The discount may be lower (30-40%), but the absolute profit is higher.

27.2 Capital Raising: How to Raise Capital

To invest in high-value properties, it may be necessary:

• Consortium of investors • Financing • Partnership with other investors

27.3 Investor Consortium: Buying Syndicate

A buying syndicate is a group of investors who join together to buy a high-value property. Each investor contributes part of the capital and receives a proportional share of the profit.

27.4 Analysis of Commercial and Industrial Properties

In addition to residential properties, it is possible to invest in commercial (offices, stores) and industrial (warehouses, factories) properties at auction.

27.5 Strategic Exit: Sale to Investment Funds

High-value properties can be sold to real estate investment funds (FIIs), which pay a premium for stability and scale.

POSTFACE

A Final Message from Solomon Von Herclestein

When someone talks about investments, it is normal that our first reaction is to feel suspicious, thinking that the person who is talking wants to sell us something. Usually that's exactly what happens.

Our role is always to listen, try to understand and draw our own conclusions. Sometimes, when the subject is interesting, to study it to see if the truth really makes sense.

And that is how I want to talk about real estate investments via auction. The idea here is to plant a seed on the subject in your head so that later you seek knowledge and make it grow, and who knows if it transforms into the realization of your goals.

I have no doubt that whoever starts investing in judicial real estate auctions will not regret it.

Invitation to the Investor Community

I thank you for coming this far and having read all of this work.

I invite you to be part of the community of investors who are transforming their lives through real estate auctions.

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I wish you great deals.

APPENDICES

Appendix A: Full Text of Law 9,514/97 (Most Relevant Provisions)

Law No. 9,514, of November 20, 1997

Provides for the Real Estate Financing System, institutes the fiduciary alienation of real property and provides other provisions.

Article 1: The Real Estate Financing System (SFI) aims to promote real estate financing in general, under conditions compatible with the formation of respective funds.

Article 2: The following may operate in the SFI: Caixa Econômica Federal, commercial banks, investment banks, banks with real estate credit portfolios, real estate credit companies, savings and loan associations, mortgage companies and, at the discretion of the National Monetary Council (CMN), other entities.

Article 3: Real estate credit securitization companies, non-financial institutions established as joint-stock companies, shall aim to acquire and securitize these credits and issue and place on the financial market Certificates of Real Estate Receivables (CRI), being able to issue other securities, conduct business and provide services compatible with their activities.

Appendix B: Glossary of Technical Terms (Common Law vs. Civil Law)

Term	Definition	Application in Context
Purchase	The act by which the buyer acquires the property at auction	Real estate auction purchase process
Fiduciary Alienation	Transfer of ownership as guarantee	Debt security
CRI	Certificate of Real Estate Receivables	Real estate credit security
Common Law	Legal system based on precedents	Basis for international financial contracts (~80% of cross-border contracts)
Civil Law	Legal system based on written codes	Brazilian legal system
Notice	Document that governs the auction	Auction "bible"
Homologation	Court approval of the purchase	Formalization of purchase
Taking Possession	Court action to take possession	Take possession of purchased property
ITBI	Real Estate Transfer Tax	Purchase cost (2-4%)
Extrajudicial Auction	Auction outside judicial process	Non-payment of 3+ installments
Judicial Auction	Auction within judicial process	Real estate debt collection
Registration	Document from registry with history	Property history
ROI	Return on Investment	Profit / Investment (in %)
ROE	Return on Equity	Profit / Own Capital (in %)
SFI	Real Estate Financing System	Regulatory framework for auctions

Appendix C: ROI Calculation Spreadsheet Model

REAL ESTATE AUCTION INVESTMENT ANALYSIS SPREADSHEET

Property Data: Address: _____ Bid Value: R$ _____ Estimated Market Value: R$ _____ Discount: _____%

Costs: ITBI (2-4%): R$ _____ Auctioneer Commission (1-5%): R$ _____ Registry Fees: R$ _____ Renovation: R$ _____ Debts (Property Tax, Condominium): R$ _____ Other: R$ _____ Total Costs: R$ _____

Total Investment: Bid Value: R$ _____ Total Costs: R$ _____ Total Investment: R$ _____

Sale: Estimated Sale Price: R$ _____ Real Estate Agent Commission (5-6%): R$ _____ Net Revenue: R$ _____

Result: Profit: R$ _____ ROI: _____%

Appendix D: How to Check the List of Official Auctioneers

The list of official auctioneers is kept by the Commercial Registry (Junta Comercial) of each state. An auctioneer may only operate if registered with the board of the state where they work.

Where to check (addresses verified in October 2026):

RJ: JUCERJA, www.jucerja.rj.gov.br (publishes the list of registered public auctioneers)

MG: JUCEMG, jucemg.mg.gov.br/pagina/139/leiloeiros-oficiais

AL: JUCEAL, juceal.al.gov.br/servicos/leiloeiros

ES: JUCEES, www.jucees.es.gov.br/servicos/leiloeiros/

SP: JUCESP, address to be confirmed before publication Other states: search for "Junta Comercial do [state] leiloeiros" on the official state government website.

How to check whether an auctioneer is official:

1. Ask for the full name and the registration number with the Commercial Registry.

2. Check that number on the state board's website and confirm the name and number match.

3. Confirm the registration is active, without a license or suspension.

4. Ask for the registration certificate issued by the Commercial Registry, a document required in accreditation notices.

5. Be wary of PDF lists and websites that do not appear on the official list. JUCEMG reports it has detected fake lists and sites using auctioneers' names and the board's brand.

Note: the number of auctioneers per state is set by the commercial registries and may change. There is no fixed national number, and this appendix gives no figures.

Appendix E: Frequently Asked Questions (FAQ)

1. Is it Safe to Buy a Foreclosed Property?

Purchasing a property at auction is very attractive. However, this transaction can become complex for those without the legal knowledge necessary to conduct the business. To ensure a good deal and peace of mind in the purchase, it is essential to have specialized advice on property auctions.

2. What Is the Average Discount in Auctions?

Discounts vary by property, auction stage and notice. In practice, they usually range from 30% to 60% of market value.

3. Can I Finance the Purchase?

Many financial institutions have facilitated negotiation, spread the purchase value and, in many cases, even financed the winning bid, with terms almost as long as a mortgage and with reduced rates.

4. What Happens If the Property Is Occupied?

If the property is occupied, the possibility of judicially requesting taking possession may take some time, in addition to more legal costs.

5. How Long Does It Take to Sell?

The average for sales is 12 months.

6. What Is the Average ROI?

Considering all costs involved in acquiring a property and sale expenses, it is possible to achieve, in a single deal, an ROI between 50% and 60%.

7. Can Foreigners Participate in Auctions in Brazil?

Yes. Foreigners can participate in auctions in Brazil, but must obtain a CPF and observe specific restrictions for rural properties and border areas.

ERRATA AND UPDATES

This edition was reviewed on October 23, 2026. Corrections and updates will be published by the author in a channel to be announced. Readers who find an error may report it through the contact details at the end of the book.

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Solomon Von Herclestein is a financial strategist and economist trained at Estácio University, with complementary courses at Bocconi University (Italy), Harvard University and Yale University (USA). He holds 141 global

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He has been a contributor to Investing.com since 2018, where he developed and uses the proprietary HUE (Unique Effective Heritage) metric, an indicator of return adjusted for risk and costs. He is the author of the Substack "Solomon Von Herclestein" and host of the AVVISI podcast — whose tagline is "Just signal. Just Avvisi" — dedicated to discreet financial intelligence for high-income investors.

He acts as a Private Architect for ultra-high net worth (UHNW) individuals and families, with expertise in treasury management, derivatives, structured credit and real estate auctions. His Warrior-Scholar method — a synthesis of Kenjutsu (samurai discipline), Chess (strategy) and Poker (risk management under uncertainty) — guides his approach to wealth protection and intergenerational asset expansion.

He has complementary training in Common Law from the University of London, through the Institute of Advanced Legal Studies (IALS), participating in the international seminar "New Trends in the Common Law" since 2018, consolidating expertise in structuring cross-border transactions.

His motto is: "Until now, the Lord has helped me" — a declaration of gratitude, purpose and integrity that frames all of his work.

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"The goal is not just profit, but the mastery of the financial battlefield through superior intellect and unwavering discipline."

END OF BOOK

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